Archer Daniels Midland: Navigating Market Shifts with a Focus on Food Waste Reduction

ADM faces a challenging market landscape, marked by declining revenues. However, this period of transition presents a unique opportunity to integrate food waste reduction strategies, bolstering both environmental sustainability and long-term profitability. ReFED believes that ADM, with its extensive global operations and established partnerships, is well-positioned to capitalize on these opportunities.

The Numbers Tell the Story: Revenue Declines and the Untapped Potential of Efficiency

ADM's recent financial performance underscores the need for strategic optimization. The company's revenue for the quarter ending June 30, 2025, was $21.166 billion, a 4.86% year-over-year decline. Annual revenue for 2024 was $85.53 billion, an 8.95% decrease from 2023's $93.935 billion. While external factors contribute to these fluctuations, internal efficiencies, particularly in minimizing food waste across ADM's 270+ manufacturing facilities, can directly impact the bottom line. By reducing waste, ADM can improve resource utilization, lower operational costs, and potentially unlock new revenue streams through byproduct valorization.

From Commitment to Action: Building on a Foundation of Sustainability

ADM recognizes the importance of sustainability, stating in its 2024 Annual Report that its "commitments to sustainable practices will result in a stronger ADM and a better world." While ADM's S&P; Global ESG Score of 40 places it within its industry peer group, there's room to improve, particularly in demonstrating tangible reductions in food waste. ADM's existing commitment to "developing innovative, sustainable solutions in agriculture, food and nutrition, industrial and consumer products, energy" provides a strong foundation to build upon.

Partnership Ecosystem: Leveraging Existing Collaborations for Greater Impact

ADM's existing partnerships offer a springboard for enhanced food waste reduction efforts. The company's long-standing relationship with World Food Program USA, dating back to 2005, demonstrates a commitment to addressing food security. Furthermore, ADM's participation in the U.S. Food Waste Pact, a national initiative led by ReFED and World Wildlife Fund, signals a willingness to collaborate on waste reduction targets. By actively engaging with these partners, ADM can leverage shared expertise and resources to implement effective waste reduction strategies across its operations.

Market Signals: Biofuel Policy and Crushing Profit Decline

Recent market signals highlight the importance of adapting to evolving industry dynamics. A 93% decline in crushing profit, attributed to "lower margins as a result of muted demand due to the deferral of U.S. biofuel policy and challenges with international trade flows," underscores the need for diversification and resilience. Optimizing byproduct streams from crushing operations, transforming potential waste into valuable inputs for other industries, can mitigate the impact of market fluctuations and create new revenue opportunities.

Supply Chain Opportunities: Where Food Is Wasted

ADM's extensive supply chain, encompassing grain and oilseed processing across numerous facilities, presents significant opportunities for food waste reduction. A comprehensive assessment of waste generation points throughout the supply chain, from sourcing and processing to distribution, is crucial. This assessment should identify specific areas where waste occurs, quantify the volume and type of waste generated, and evaluate the economic and environmental impact of this waste.

The Business Case: ROI on Food Waste Reduction

Investing in food waste reduction is not just an environmental imperative; it's a sound business strategy. By minimizing waste, ADM can reduce raw material costs, lower disposal fees, improve operational efficiency, and enhance its brand reputation. Quantifying the ROI of specific waste reduction initiatives, such as optimizing processing techniques, improving inventory management, and developing new uses for byproducts, will demonstrate the tangible benefits of these investments.

Next Steps: A Roadmap for Collaboration

ReFED recommends the following steps to help ADM further integrate food waste reduction into its core business strategy:

- Conduct a comprehensive food waste assessment: Identify and quantify waste generation points across ADM's entire supply chain.
- Develop a targeted food waste reduction plan: Set specific, measurable, achievable, relevant, and time-bound (SMART) goals for waste reduction.
- Implement innovative waste reduction technologies and practices: Explore opportunities to optimize processing techniques, improve inventory management, and valorize byproducts.
- Strengthen partnerships with organizations like ReFED and World Wildlife Fund: Leverage shared expertise and resources to accelerate waste reduction efforts.
- Publicly report on progress towards waste reduction goals: Demonstrate ADM's commitment to sustainability and transparency.

By embracing these strategies, ADM can navigate market challenges, enhance its environmental performance, and create long-term value for its shareholders and stakeholders. ReFED is ready to partner with ADM to achieve these goals.